

IN THE HIGH COURT FOR THE STATE OF TELANGANA

Trident Steel Works Pvt. Ltd. vs National Highways Authority of India ... on 5 August, 2022

AIR 2022 DEL 264, (2022) 4 DLT 65

Bench: Nagarathna, J.

JUDGMENT

Nagarathna, J.

1. The petitioner, Trident Steel Works Pvt. Ltd., has filed this petition under Section 34 of the Arbitration and Conciliation Act, 1996 challenging the Arbitral Award dated 23-02-2024 in disputes arising out of the works contract dated 15-07-2017 awarded by the respondent, National Highways Authority of India.
2. The petitioner raised claims of unauthorized deduction of liquidated damages under Sections 73 and 74 of the Indian Contract Act, 1872, alleging that the respondent committed systemic delays in granting site access and approvals.
3. Mr. Sibal, learned Senior Counsel for the petitioner, contended that the award suffers from patent illegality under Section 34(2A) of the Arbitration and Conciliation Act, 1996, as the Tribunal ignored contemporaneous correspondence admitting delay attributable to the respondent.
4. Reliance was placed on (2019) 15 SCC 131 in the case of Ssangyong Engineering & Construction Co. Ltd. v. NHA, and on (2022) 1 SCC 131 in the case of Delhi Airport Metro Express Pvt. Ltd. v. DMRC, to contend that an award ignoring vital documentary evidence is perverse and liable to be set aside.
5. Mr. Chandrachud, learned Senior Counsel for the respondent, defended the award, urging that under Section 34 of the Arbitration and Conciliation Act, 1996 this Court does not sit in appeal over the Tribunal's factual findings, and that the deductions towards liquidated damages of Rs. 8,500,000/- were justified.

6. On scrutiny, the Tribunal failed to consider Ex. P-22 and Ex. P-26 which conclusively established handover defaults attributable to the respondent. However, the findings on delay compensation suffer no infirmity since no loss was proved under Section 74 of the Indian Contract Act, 1872.

7. The petition under Section 34 is partly allowed; the award to the extent of liquidated damages of Rs. 8,500,000/- is set aside, and in rest it is affirmed.

Nagarathna.